

UAE / DUBAI — Business Formation Guide

RKPT TECH LTD | Middle East Business Hub *Verified against official government sources*
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1. Snapshot

Critical first decision	Mainland or Free Zone — the UAE is not one single company-registration system
Typical structures	Mainland LLC / Free Zone Establishment (FZE, 1 shareholder) / Free Zone Company (FZC, 2+)
Corporate Tax	0% up to AED 375,000 taxable income; 9% above
VAT	5%, mandatory registration above AED 375,000
Year-one indicative cost	Free zone from ~AED 5,750–36,000; Mainland ~AED 15,000–80,000+ (activity-dependent)

2. Mainland vs Free Zone

	Mainland	Free Zone
Licensing authority	Emirate economic department (e.g. DET for Dubai)	Relevant free-zone authority
Market access	Full UAE market; can bid for government contracts	Restricted to the zone/international trade (mainland sales generally need a distributor or branch)
Foreign	100% permitted for most commercial/professional activities since 2021 reforms — not universal , some	100%

ownership	strategic/regulated activities remain restricted	
Office requirement	Physical premises generally required	Flexi-desk/virtual office often available
Typical relative cost	Higher	Generally lower entry cost

3. Company Formation — Step by Step (Mainland)

1. **Choose the emirate**
2. **Select the business activity** (the UAE recognises 2,000+ activities; this drives licence type, legal form and approvals)
3. **Select the legal form** — LLC, sole establishment, civil company, branch, or other permitted structure
4. **Reserve and approve the trade name**
5. **Obtain initial approval** — this does **not** itself authorise the business to trade; further approvals may still be required
6. **Prepare the MOA / Local Service Agent agreement** where applicable
7. **Arrange business premises** and complete **Ejari** tenancy registration (mainland)
8. **Obtain any additional regulatory approvals** for the activity (health, education, finance, security, etc.)
9. **Submit final documentation and pay licence fees**
10. **Obtain the trade licence**
11. **Set up immigration/employer files** if hiring staff or sponsoring visas
12. **Open the corporate bank account**
13. **Register for Corporate Tax and VAT** with the Federal Tax Authority (FTA) via EmaraTax

Free-zone formation follows an equivalent but streamlined path through the chosen zone's own authority, typically completing in 2–7 working days once documents are ready.

4. Documents & Information Required

- Passport copies of all shareholders/managers
 - Trade name approval
 - Initial approval certificate
 - MOA (where applicable)
 - Ejari tenancy contract (mainland) or flexi-desk agreement (free zone)
 - Activity-specific approvals, where relevant
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5. Costs (Government fees — separated from other costs)

Route	Indicative first-year cost
Free zone — no visa	From ~AED 5,750–13,000
Free zone — 1–2 visas	~AED 10,000–36,000
Mainland — trade licence itself	~AED 15,000–25,000 (activity-dependent), plus registration/initial approval ~AED 770–2,300
Mainland — full year-one all-in (incl. office + visa)	~AED 15,000–80,000+ (commonly AED 40,000–80,000 with a physical office and visas; premium free zones such as DMCC also trend higher)

Not included in headline prices: corporate bank account minimum balance, document attestation/translation, mandatory medical insurance per visa holder, Corporate Tax and VAT registration/bookkeeping support (AED 2,500–8,000/year typical), annual audit where required (AED 5,000–15,000), licence and visa renewals.

RKPT should never publish one fixed "Dubai formation price" — cost depends entirely on emirate, activity, legal structure, mainland/free-zone choice, office requirements and number of visas.

6. Timeframe

Stage	Indicative time

Activity/legal structure assessment	1–3 days
Trade-name approval	1–5 working days
Initial approval	1–5 working days
Free-zone licence	2–7 working days once documents are ready
Mainland licence (incl. office/Ejari)	1–2+ weeks
Corporate Tax registration (FTA)	~20 business days
VAT registration	~20 business days
Bank account	1–6+ weeks
Full operational setup	~2–8 weeks

7. Tax & Compliance

Item	Rate / Threshold
Corporate Tax	0% on taxable income up to AED 375,000; 9% above
Corporate Tax registration	Mandatory with the FTA regardless of profit level (within 3 months of incorporation for entities formed on/after 1 March 2024)
Late Corporate Tax registration penalty	AED 10,000 (subject to applicable waiver initiatives)
VAT — standard rate	5%
VAT — mandatory registration	Taxable supplies/imports exceed AED 375,000 in 12 months
VAT — voluntary registration	From AED 187,500
Personal income tax	None on salaries

Ongoing obligations: annual trade licence renewal, Corporate Tax and VAT filings, bookkeeping (IFRS), mandatory audit for some free zones (e.g. DMCC) or above certain mainland thresholds, mandatory medical insurance per visa holder, visa renewal (typically every 2 years).

8. Important Information

- **Initial approval is not authorisation to trade.** A separate trade licence — and, for many activities, additional sector-specific approvals — is still required before operations can begin.
- **"100% foreign ownership" is not universal.** Many mainland and all free-zone activities permit full foreign ownership, but strategic/regulated activities can carry additional restrictions. Never state this as an unqualified guarantee.
- Corporate Tax registration is **mandatory even for businesses below the 0% threshold** — it is a registration obligation, not just a payment obligation once profits exceed AED 375,000.
- **Immigration is separate from company formation.** An investor/partner visa is available through company formation (2-year, renewable). The **Golden Visa** (10-year) is available via qualifying investment — for property, as of April 2026 sole owners face no minimum value, while joint owners must each hold a share valued at AED 400,000+. Owning a UAE company does not itself grant residency; a separate application is required.
- Bank account approval is entirely separate from licensing and subject to the bank's own compliance assessment.

Disclaimer: Fees, thresholds and requirements change and should be reconfirmed at u.ae or tax.gov.ae before reliance. This is general information, not legal, tax or immigration advice.

9. Official Sources (checked September 2026)

- UAE Government Portal — <https://u.ae>
- Ministry of Economy and Tourism (MoET) — <https://www.moet.gov.ae>
- Federal Tax Authority (FTA) — <https://tax.gov.ae>
- Ministry of Human Resources and Emiratization (MoHRE) — <https://www.mohre.gov.ae>
- GDRFA — Dubai (visas, residence) — <https://www.gdrfad.gov.ae>
- Dubai Department of Economy and Tourism (DET) — <https://www.dubaidet.gov.ae>

